

DM Market Update

Tyler Hubbard, Head of Research | Decentralized Masters

August 31, 2026

MARKET SNAPSHOT

Asset	Price / Level	Wk Change	Note
Bitcoin (BTC)	\$78,173	-3.9%	Pullback from \$81,455 Aug high; ETF bid intact
Ethereum (ETH)	\$2,438	-2.9%	10-session ETF inflow streak; Glamsterdam TBD
Gold (XAU)	\$4,491	+2.1%	Best monthly gain since Sep 1999; debasement bid
Silver (XAG)	\$67.10	+16% Aug	Dual driver: safe haven + industrial AI/solar demand
Brent Crude	\$90.69	-4.9% wk	Pulled from \$95 peak; Hormuz 6-8M bbl/day flowing
DXY / S&P; 500	99.53 / 7,712	--	Warsh hawkish; 10Y yield at 4.71%

THIS WEEK'S THEMES

MACRO

Warsh at Jackson Hole

First major speech as Fed Chair. Flagged sticky inflation, rejected forward guidance, and confirmed the 2% PCE target as firm. September hike odds surged to 57% post-speech. Three July FOMC dissenters already wanted a hike.

PCE July: 3.7% / Core 3.3%

Headline beat consensus by 0.1pp. Core held at 3.3%, 65 consecutive months above target. Real spending flat month over month. Stagflationary undertone despite nominal gains.

Oil Pivot: Sanctions Over Strikes

U.S. shifted to economic pressure on Iran. Hormuz flows recovering to 6-8M bbl/day. Brent eased from \$95 to \$90 on reduced disruption premium, but stays elevated, keeping inflation pressure alive.

Dollar and Metals: Debasement Trade

DXY sub-100. Gold tracking for best month since 1999. Silver +16% in August. Treasury doubled long-bond buybacks, reinforcing the fiscal dominance narrative and supporting hard assets.

CRYPTO

August Rally: \$2.7B Short Squeeze

Trump's Aug 20 Clarity Act push plus Treasury buyback announcement triggered a \$2.7B short squeeze. BTC surged from ~\$70K to \$81,455 peak. ETH surged 17.5% in a single session.

Bitcoin ETF: \$3B+ in August

Strongest month for spot BTC ETF inflows in 2026. Week of Aug 24-28 alone saw \$924M. ETH ETFs on a 10-session inflow streak. Institutional demand is structural, not speculative.

Clarity Act: Sept 15 Cloture Vote

Needs 60 Senate votes to proceed. Republicans hold 53 seats, need 7 Democrats. Unresolved: ethics language, stablecoin yield, DeFi rules. Polymarket at 17%; Galaxy at 30% odds.

BTC Consolidation at \$78K

Post-squeeze pullback. Key support: \$77K. Below that, \$72,400. Resistance at \$81,500. Fear/greed briefly hit extreme greed (first time since late 2024). Consolidation range looks stable for now.

MACRO OUTLOOK

Warsh's Jackson Hole speech was a hawkish non-commitment. He confirmed inflation is the Fed's primary concern, rejected forward guidance as a policy tool, and noted financial conditions are not currently restrictive -- a phrase that markets read as a soft signal the current rate of 3.50-3.75% may be insufficient. Three July FOMC dissenters already preferred a hike. After the speech, September hike odds moved to 57%, up from 40% a week prior. The real test arrives in two steps: August payrolls on September 5 and August CPI on September 11. A strong jobs number plus re-accelerating CPI would almost certainly lock in a 25bps hike at the September 16-17 meeting. The debasement trade in gold and silver reflects the market's read that fiscal conditions limit how far the Fed can go even if it hikes, making hard assets attractive on both the inflation and the debt-ceiling side of the equation. Brent at \$90 keeps energy in the inflation basket elevated.

CRYPTO OUTLOOK

August's crypto rally was structurally different from prior cycles. The \$2.7B short squeeze on August 20 was catalyzed by simultaneous regulatory and liquidity signals: Trump's Clarity Act push plus Treasury's long-bond buyback expansion. Both events reduced risk discount on crypto assets. The \$3B+ in spot BTC ETF inflows during August confirms institutional demand is ongoing, not exhausted. The current consolidation at \$77K-\$78K is healthy. The Clarity Act cloture vote on September 15 is the next binary event: a pass moves Bitcoin toward \$85K-\$90K; a failure likely triggers a 10-15% correction. The structural picture remains positive. On-chain metrics show whale accumulation mixed with retail profit-taking -- typical of a mid-cycle consolidation. ETH's 10-session ETF inflow streak suggests institutional rotation within crypto rather than full de-risking.

KEY LEVELS

Asset	Support	Current	Resistance	Scenario to Watch
Bitcoin	\$77,000 / \$72,400	\$78,173	\$81,500 / \$85,000	Clarity Act cloture pass - > \$85K
Ethereum	\$2,300 / \$2,100	\$2,438	\$2,600 / \$2,850	Institutional rotation + Glamsterdam news
S&P; 500	7,500 / 7,200	7,712	8,000 / ATH	September hike + hot CPI - - >7500 test
Gold (XAU)	\$4,400 / \$4,200	\$4,491	\$4,700 / ATH	Debasement trade intact while DXY < 100
Brent Crude	\$85 / \$80	\$90.69	\$95 / \$100+	Any new Hormuz escalation - - >\$95 fast

ECONOMIC CALENDAR | WEEK OF SEPTEMBER 1-5, 2026

Date	Event	Impact	Why It Matters
Tue Sep 1	JOLTS Job Openings; ISM Mfg PMI	HIGH	Labor tightness signals; manufacturing inflation
Wed Sep 2	ADP Employment; Fed Beige Book	HIGH	Private payrolls preview; regional inflation color
Thu Sep 3	Jobless Claims; ISM Services PMI	MED	Services inflation - stickiest CPI component
Fri Sep 4	Nonfarm Payrolls (August)	CRITICAL	>200K + wages >4% YoY likely locks Sep hike
Mon Sep 7	Labor Day (Markets Closed)	--	First full week closes with NFP data digestion
Fri Sep 11	CPI (August)	CRITICAL	Final inflation print before FOMC blackout

KEY UPCOMING DATES: Sep 15 - Clarity Act Senate Cloture Vote (60-vote threshold) | Sep 16-17 - FOMC Decision